



PRESS RELEASE

**ABRIDGED UNAUDITED RESULTS
FOR SIX MONTHS ENDED 31ST DECEMBER 2017**

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED 31ST DECEMBER 2017

	Six Months to Dec 2017	Six Months to Dec 2016
	Shs'000	Shs'000
Net Revenue	680,514	1,529,136
Cost of Sales	<u>(1,770,007)</u>	<u>(2,968,290)</u>
Gross Loss	(1,089,493)	(1,439,154)
Fair value gain/ (loss) on biological assets	5,065	(39,717)
Other Operating Income	2,967	33,035
Marketing and Distribution costs	(45,347)	(41,107)
Administrative Expenses	(630,820)	(1,490,550)
Finance Income	2,732	6,170
Finance Costs	<u>(781,157)</u>	<u>(821,076)</u>
Loss before taxation	(2,536,053)	(3,792,399)
Taxation Credit	<u>583,292</u>	<u>872,252</u>
Loss after taxation	(1,952,761)	(2,920,147)
 TOTAL COMPREHENSIVE LOSS FOR THE PERIOD	 (1,952,761)	 (2,920,147)
	Shs	Shs
Earnings per share - basic & diluted	<u>(1.28)</u>	<u>(1.91)</u>

MUMIAS SUGAR COMPANY LIMITED

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2017

	Dec 2017	June 2017
	Shs'000	Shs'000
ASSETS		
Non-current assets	21,178,926	22,230,804
Current assets	<u>2,153,966</u>	<u>1,860,291</u>
TOTAL ASSETS	<u>23,332,892</u>	<u>24,091,095</u>
EQUITY AND LIABILITIES		
Shareholders' equity	(1,196,181)	756,580
Non-current liabilities	9,893,050	6,313,270
Current liabilities	<u>14,636,023</u>	<u>17,021,245</u>
TOTAL EQUITY AND LIABILITIES	<u>23,332,892</u>	<u>24,091,095</u>

**CONDENSED STATEMENT OF CHANGES IN EQUITY
FOR SIX MONTHS ENDED 31ST DECEMBER 2017**

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 st July 2016	3,060,000	7,093,105	(2,401,527)	7,751,578
Total comprehensive loss for the period - 2016	-	-	(2,920,147)	(2,920,147)
At 31st December 2016	<u>3,060,000</u>	<u>7,093,105</u>	<u>(5,321,674)</u>	<u>4,831,431</u>
At 1 st July 2017	3,060,000	6,464,988	(8,768,408)	756,580
Total comprehensive loss for the period - 2017	-	-	(1,952,761)	(1,952,761)
At 31st December 2017	<u>3,060,000</u>	<u>6,464,988</u>	<u>(10,721,169)</u>	<u>(1,196,181)</u>

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF CASH FLOWS
FOR SIX MONTHS ENDED 31ST DECEMBER 2017

	2017	2016
	Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash used in operations	(401,604)	(816,416)
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	(35,078)	(83,115)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated from financing activities	<u>500,000</u>	<u>595,534</u>
INCREASE/ (DECREASE) IN CASH AND CASH EQUIVALENTS	63,318	(303,997)
CASH AND CASH EQUIVALENTS AS AT 1 ST JULY	<u>(2,700,735)</u>	<u>(2,194,548)</u>
CASH AND CASH EQUIVALENTS AS AT 31ST DECEMBER	<u>(2,637,417)</u>	<u>(2,498,545)</u>

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2017, which were prepared in accordance with International Financial Reporting Standards. The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2017.

OPERATIONS REVIEW

The company resumed milling operations in the second quarter after a 3-months stoppage this financial year for out of crop (OOC) plant maintenance. The main impact of this stoppage flows into the reported financials as seen by the reduced cane crushed & associated production volumes compared to a similar period last year when there was no OOC stoppage.

Cane diffused in the three months stood at 190,291 tonnes (*a monthly average of 63,430 tonnes*) compared to 319,746 tonnes (*a monthly average of 53,291 tonnes*) diffused in the six months last half year; equivalent to an average month on month throughput improvement of 19%.

In total volume terms, though sugar made dropped to 9,882 tonnes (*a monthly average of 3,293 tonnes*) compared to 12,197 tonnes (*a monthly average of 2,033 tonnes*) made in the same period last year due to the impact of the shortened production time, the average monthly production improved by 62% due to a 36.5% improvement in sugar recovery as measured by *rendement (up from 4.03% recorded last half year to 5.5% realized in this period)*. This improvement was a result of higher & more consistent factory throughput due to better cane supplies supported by prompt farmer payment, better cane harvesting and transport logistics.

Duty free sugar imported impacted the market price for sugar which steadily declined from Kshs 73,911 in October 2017 to 68,893 in December 2017 despite this being the festive season associated with high prices. (Net price December 2016 Kshs 80,392)

The distillery produced 1,999,126 litres (*a monthly average of 666,375 litres*) of Extra Neutral Alcohol (ENA) a 59.5% reduction from 4,941,091 litres (*a monthly average of 823,515 litres*) made in a similar period last year. The lower average monthly production volumes this year resulted from a combination of lower molasses consumed plus the effect of improved sugar recoveries which effectively starve off the distillery of good quality molasses.

The route to market was the main challenge for the distillery segment with most of our key customers switching to imported spirit during the closure period. As at close of period ENA stocks stood at 1.5 million litres.

The Cogen plant produced 3,526 MW of electricity with 1,532MW exported to the national grid. No power was exported last year. Negotiations are ongoing with Kenya Power on the Power Purchase Agreement and delinking of the domestic back feed from the industrial complex.

RESULTS OVERVIEW

The company recorded net revenues of Kshs 680.5 million down from Kshs 1.52 billion a decline of 56% over the previous year as a result of the combined impact of reduced sugar net prices and lower sales volumes due to the shortened production time. Cost of sales reduced by 40.3% to Kshs 1.7 billion from Kshs 2.9 billion recorded the previous year. Continuous focus on cost management saw operating costs drop by 38% to Kshs 1.45 billion from Kshs 2.34 billion effectively slashing the loss after tax by 33% to Kshs 1.95 billion from Kshs 2.92 billion reported last year.

FUTURE OUTLOOK

The company is optimistic that it will record better performance in the second half of the year through implementation of the below key strategic pillars aimed at turning-round the company fortunes;

Cane Availability & Supply:

1. To win back the farmer and manage their loyalty, management shall continue to offer competitive prices for sugar cane delivered to the factory within the Agriculture and Food Authority (AFA) guidelines.
2. Increased external sourcing of cane through improved harvesting and transport logistics within and beyond the MSC cane catchment area.

Factory Optimization:

1. The commissioning of boiler 1B & 2B is expected by end of February 2018 to improve sugar recovery.
2. Repair works on the process house and diffuser area are ongoing to improve recoveries as well.

Improved Financial Management

1. The improved branding to bagging ratio will be maintained to enhance the net sugar selling prices and to mitigate the impact of the existing lower priced imported sugar currently in the market.
2. Cost management
Management will continue reducing operating costs to improve the financial performance with continued focus on the principal controllable costs such as employment related expenditure, fuel and vehicle maintenance, capital items and spares.

DIVIDENDS

The Board of Directors does not recommend payment of an interim dividend for the first half of the year.

BY ORDER OF THE BOARD



DR. KENNEDY NGUMBAU MULWA, HSC
CHAIRMAN